1.P2P – (PROCURE TO PAY)

a core business process that covers everything from identifying a need for goods or services to making the final payment to the vendor. It's like the full shopping-to-payment journey for the businesses.

SAP P2P process:

1. **Purchase Requisition** **TCODE: ME51N**

A department identifies a need and creates a request for goods or services.

2. **Request for quotation (RFQ)-** **TCODE: ME41**

Creating a Request for Quotation (RFQ) in SAP MM involves several steps to ensure that vendors provide their best prices, terms, and conditions. Here is a step-by-step guide to creating an RFQ using transaction code ME41

3. **Maintain quotation** **TCODE:ME47**

It used to maintain a vendor quotation in response to a previously created Request for Quotation (RFQ). It's a key step in the procurement process where you record the vendor's offer so it can be evaluated and compared.

4.**Price comparison** **TCODE:ME49**

In SAP, ME49 is the transaction code used for Price Comparison of vendor quotations. It plays a pivotal role in the RFQ-to-PO process by helping procurement teams evaluate and select the most cost-effective vendor offer. Here's how ME49 interacts with other SAP transactions

5.Outline agreement

In the SAP Procure-to-Pay (P2P) process, an Outline Agreement is a long-term purchasing arrangement between a company and a vendor for the supply of materials or services under predefined conditions over a specified period.

Types of Outline Agreements

There are two main types:

1. Contract
    - A general agreement without fixed delivery dates.
    - Two subtypes:
        - Quantity Contract: Fulfilled when a total quantity is delivered.
        - Value Contract: Fulfilled when a total monetary value is reached.
2. Scheduling Agreement
    - Includes specific delivery dates and quantities.

    - Delivery schedules are maintained and shared with the vendor.
    - Ideal for just-in-time procurement.

* How It Fits into the P2P Cycle

Step	Description
1. Create Outline Agreement	Use T-codes like ME31K (Contract) or ME31L (Scheduling Agreement).
2. Source of Supply	Purchase Requisitions can reference outline agreements.
3. Release Order / Schedule Line	When materials are needed, a PO (for contracts) or delivery schedule (for scheduling agreements) is created.
4. Goods Receipt & Invoice	Standard P2P steps follow: GR, invoice verification, and payment.

*Why Use Outline Agreements?

- Reduces repetitive procurement tasks
- Locks in pricing and terms
- Improves vendor relationships
- Enables better planning and forecasting

You can think of it as setting up a standing deal with a vendor, so you don't have to renegotiate every time you need something. Want to see how to create one step-by-step or explore how SAP Ariba enhances this process?

6.Purchase Order **TCODE:ME21N** (PURCHASE ORDER IS A LEGAL ENTITY BETWEEN CUSTOMER AND VENDOR) IT IS A EXTERNAL ACTIVITY - SENDING **PO** TO VENDOR AND APPROVAL

In SAP, ME21N is the transaction code used to create a Purchase Order (PO). It's one of the most frequently used T-codes in the Materials Management (MM) module and is essential in the Procure-to-Pay (P2P) process.

What You Can Do with ME21N

Create standard purchase orders for goods or services
Reference existing documents like Purchase Requisitions, RFQs, or Contracts
Specify vendor, material, quantity, delivery date, and pricing
Add account assignment, delivery instructions, and payment terms

Key Fields in ME21N

Field	Description
Vendor	Supplier from whom goods/services are ordered
Material	Item or service being procured
Quantity	Number of units to be purchased
Delivery Date	Expected delivery timeline
Purchasing Org	Organizational unit responsible for buying
Company Code	Legal entity for financial processing

Navigation Path

Logistics → Materials Management → Purchasing → Purchase Order → Create → ME21N

Related Transactions

T-Code	Purpose
ME22N	Change Purchase Order
ME23N	Display Purchase Order
ME51N	Create Purchase Requisition
ME49	Compare Vendor Quotations

This transaction is the starting point for formalizing procurement—once a PO is created, it can be sent to the vendor, and the rest of the P2P cycle (goods receipt, invoice, payment) follows.

Would you like a step-by-step walkthrough of how to create a PO using ME21N?

7.**Goods Receipt** TCODE:MIGO

In SAP, **MIGO** stands for **"Movement In Goods Out"** and is the **transaction code used for Goods Receipt (GR)** and other inventory-related activities. It's part of the **Materials Management (MM)** module and is the go-to screen for handling **goods movements** like receipts, issues, and transfers.

What Is a Goods Receipt?

A **Goods Receipt** is the process of **recording the arrival of goods** from a vendor into your company's inventory. It confirms that the ordered materials have been received and updates stock levels accordingly.

What You Can Do with MIGO

Function	Description
Goods Receipt (GR)	Post receipt of goods against a Purchase Order (PO)
Goods Issue (GI)	Record removal of goods from inventory (e.g., for production or sales)
Transfer Posting	Move stock between locations, plants, or storage types
Return Delivery	Send goods back to the vendor
Stock Transfer	Shift inventory between storage locations or company codes

How to Perform a Goods Receipt Using MIGO

1. **Enter T-code MIGO** in the SAP command field.
2. In the dropdown, select:
   - **Goods Receipt**
   - **Purchase Order** as the reference document
3. Enter the **PO number** and press Enter.
4. Review and confirm:
   - Material
   - Quantity
   - Storage location
   - Movement type (usually **101** for standard GR)
5. Tick the **"Item OK"** checkbox.
6. Click **Check** to validate.
7. Click **Post** to complete the GR. A **Material Document Number** will be generated.

Related Transactions

T-Code	Purpose
MIRO	Invoice Receipt
MB03	Display Material Document
MB1C	Initial Stock Entry

MIGO is a **central hub for inventory control**, and mastering it is key for anyone working in procurement, warehouse, or logistics. Want a visual walkthrough or tips on handling batch-managed materials in MIGO?

7.Invoice Receipt TCODE:MIRO

In SAP, MIRO is the transaction code used for Invoice Receipt, specifically to enter and verify incoming vendor invoices. It’s a critical step in the Procure-to-Pay (P2P) cycle, ensuring that the invoice matches the goods received and the purchase order before payment is made.

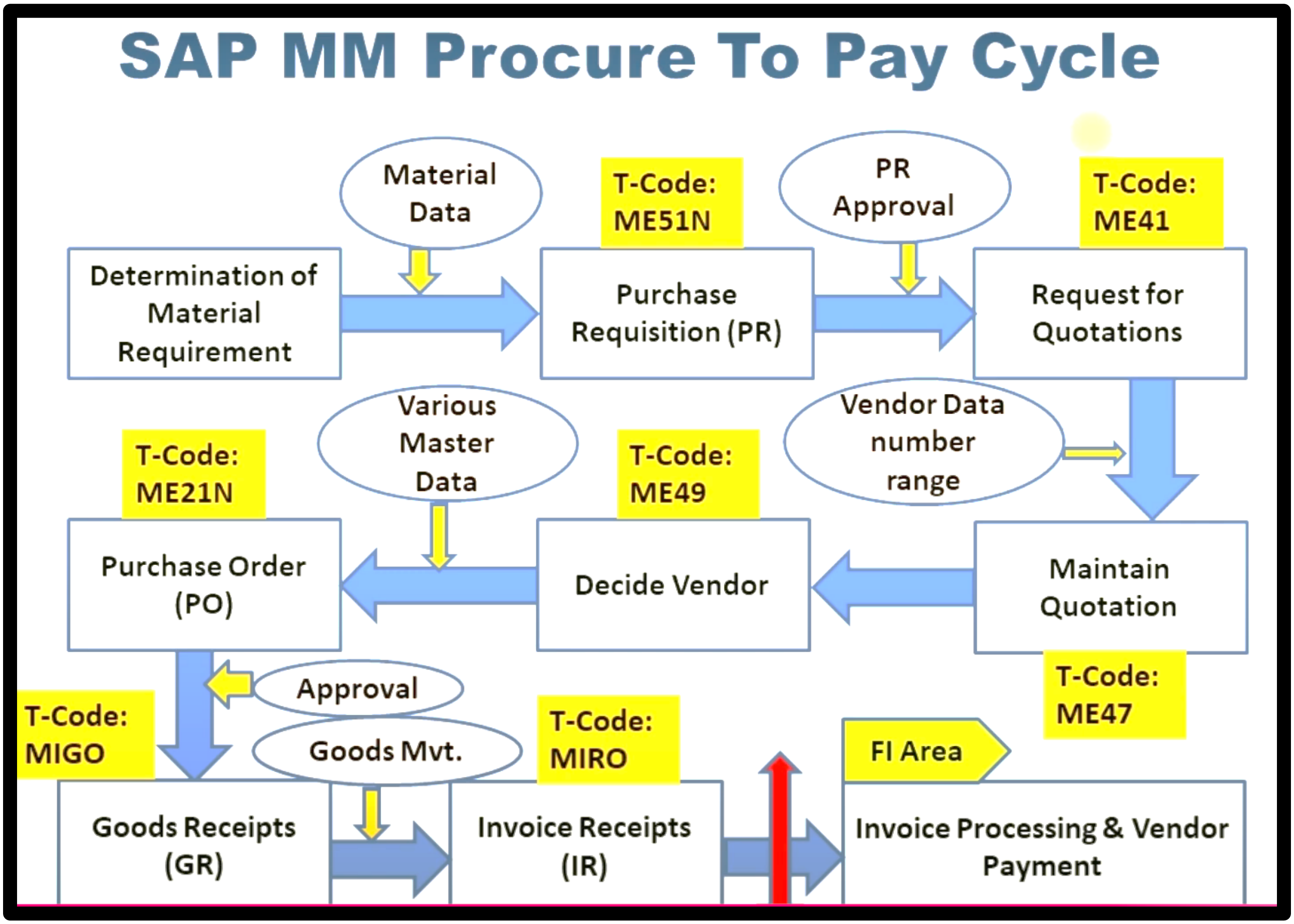
What You Can Do with MIRO

Enter vendor invoices, credit memos, or subsequent debits/credits
Reference Purchase Orders (POs) or Goods Receipts (GRs)
Perform three-way matching: PO ↔ GR ↔ Invoice
Automatically calculate taxes, discounts, and payment terms
Post the invoice to accounts payable and update the vendor balance

How to Use MIRO

Enter T-code MIRO in the command field.
Choose Invoice as the transaction type.
Enter:
Invoice date
Vendor invoice number (reference)
Gross amount and tax code
PO number (to pull in line items)
Review and adjust item quantities or prices if needed.
Ensure the balance is zero (i.e., invoice matches PO and GR).
Click Post to generate an accounting document.

8. Invoice processing and vendor payment (SAP FI MODULE)


SAP MM Procure To Pay Cycle
Material Data
T-Code: ME51N
PR Approval
T-Code: ME41
Determination of Material Requirement
Purchase Requisition (PR)
Request for Quotations
Various Master Data
Vendor Data number range
T-Code: ME21N
T-Code: ME49
Purchase Order (PO)
Decide Vendor
Maintain Quotation
T-Code: ME47
Approval
T-Code: MIGO
Goods Mvt.
T-Code: MIRO
FI Area
Goods Receipts (GR)
Invoice Receipts (IR)
Invoice Processing & Vendor Payment